

Online Dispute Resolution (ODR)

INTRODUCTION

Online Dispute Resolution (ODR) is a mechanism that enables parties to resolve disputes using electronic technology, either in real-time or asynchronously, based on the ODR provider's rules and the parties' preferences. This digital process is often more cost-effective and convenient than traditional face-to-face methods of dispute resolution such as negotiation, mediation, or arbitration. In India, ODR is still in its early stages but is gradually gaining momentum. The enactment of the Information Technology Act, 2000, has formally recognized e-commerce and e-governance, paving the way for digital dispute resolution mechanisms. Additionally, India's Arbitration and Conciliation Act, 1996, aligns with UNCITRAL Model standards, while Section 89 of the Civil Procedure Code, 1908, encourages the use of Alternative Dispute Resolution (ADR) methods. The potential of ODR to enhance equity, accessibility, and fairness was particularly evident during the COVID-19 pandemic, with initiatives like e-Lok Adalats resolving disputes via WhatsApp calls. ODR formats vary from written submissions to fully automated systems like blind bidding and chat-based mediation, and must be user-friendly and accessible, tailored to the dispute's nature.

Characteristics of online dispute resolution:

- Voluntary
- Informal
- Confidential

OBJECTIVE OF ODR

The main objective of ODR is to *enable parties to settle their disputes through electronic means*. This process can take place in real time or proceed asynchronously, depending

on the platform's rules and the preferences of the parties involved. ODR is often **more convenient and cost-effective** than traditional in-person methods of resolving conflicts, such as negotiation, mediation, or arbitration.

The actual terms of the agreement that the parties come to, can be as broad or as specific as the parties desire, particularly if the matter is concluded at the negotiation or mediation phase. The following questions could be important to consider in determining whether ODR is an appropriate manner to settle the existing dispute or not:

1. Are there really only a few issues at stake?

ODR is best-suited to deal with a small number of issues, and is often best when the issue at stake is an amount of money rather than issues pertaining to liability.

2. Are there only a few parties?

ODR works best when there are only a few parties.

3. Can the factual and/or legal issues be concisely presented?

Given that most of ODR involves electronic communication, often in writing, it works best where the issues can be clearly stated.

4. Are the factual issues dependent on the parties' differing opinions or on their credibility?

ODR is more effective where factual issues are not dependant on credibility.

5. Are witnesses required to give testimony in order to resolve the dispute?

Some ODR processes may not easily allow for witnesses to testify, particularly if the ODR process focuses on the negotiation or mediation phase of a dispute.

6. Are the parties being unrealistic regarding the outcome of the case?

Where the parties are unrealistic about outcomes, ODR may not be successful, particularly if the process is focused on the negotiation or mediation phase of the dispute.

7. Is the issue of law relatively settled or in flux?

If there are issues of law that are unsettled, the matter may not be appropriate for ODR.

METHODS OF ODR

- **Automated negotiations**

In this negotiation is done through developed technologies. In this area most of the ODR services are also called Blind Binding services. Further, it involves two types of automated negotiation: Double blind bidding: Solves single monetary disputes between 2 parties. Visual blind bidding: This can apply to negotiations between a number of parties and issue.

- **Assisted negotiations**

This concept can be said as an alternative to mediation. In mediation, the mediator with his communication skills and training, brings two parties to an agreed solution. Similarly in this technology evaluates the situation and provides parties with a set of advices and solve the issue with informality and in a user-friendly manner.

Forms of Alternative Dispute Resolution (ADR)

Alternative Dispute Resolution (ADR) has evolved in the digital era to offer faster, cost-effective, and flexible methods of resolving disputes outside traditional courtrooms. Among the notable forms is **Expedient Non-Adjudicative Online Resolution**, which bypasses adjudication entirely to prioritize speed. This form is ideal for parties seeking quick resolutions without the delays of formal proceedings. Platforms such as "One Day Decisions" use algorithms in a format similar to blind bidding, allowing parties to privately input acceptable settlement values. If both parties agree, a Certificate of Final Resolution is issued, marking the dispute as irrevocably settled. This method benefits both sides—claimants recover more, and defendants avoid credit damage. It is especially suited for small claims or limited civil disputes.

Crowd Justice, where public participation is central. On platforms like "Ujuj," parties upload video arguments and agree to abide by the crowd's verdict via an e-contract. Registered users vote on a compensation percentage (0– 100%), and the average determines the award. This unique model democratizes justice and offers an engaging, public-driven dispute resolution method.

The Uniform Domain Name Dispute Resolution Policy (UDRP) and its Australian counterpart, the auDRP, are well-established ODR systems for resolving domain name disputes. These frameworks use online arbitration to address cyberspace-related conflicts. Since their inception, the UDRP has resolved over 50,000 cases globally, while the auDRP has handled around 400 in Australia. Their efficiency and international reach highlight the success of structured digital arbitration.

Chargebacks represent another digital dispute resolution method commonly used in e-commerce. Customers may initiate chargebacks for various reasons, including fraud or misunderstanding. The issuing bank investigates the claim, and merchants can

contest it if they suspect abuse. This process offers a quick and secure mechanism for addressing transaction-related disputes.

Lastly, several **digital mechanisms** facilitate ODR processes effectively:

- **Filing Claims Online:** Platforms allow parties to submit claims through online forms and start negotiations directly. For example, SquareTrade uses direct negotiation tools to simplify the process.
- **Trading Settlement Offers:** Systems like CyberSettle enable confidential offer exchanges to reach agreements efficiently.
- **Collaborative Discussions:** Secure platforms allow document sharing and online negotiation between parties.
- **Signing Agreements Digitally:** E-signatures play a vital role in finalizing agreements securely and legally.

Online Arbitration

Due to the COVID-19 pandemic, many major arbitration institutions postponed hearings; however, no postponement requests were denied. Despite this, institutions have emphasized minimizing delays to uphold the integrity of arbitral proceedings. Consequently, virtual hearings have become essential, offering significant savings in time and costs. When conducted with proper planning, they ensure an effective and fair process.

To conduct smooth virtual arbitration, several best practices must be followed. First, *logistical and technological aspects such as participant count, time zones, access to platforms (like Zoom, Microsoft Teams, or Skype), document management systems, and data privacy protocols must be agreed upon in advance.*

The process must remain fair, with time allocation and argument duration clearly defined and enforced by the Arbitral Tribunal to avoid interruptions. *A trial run should be organized* to verify participants' hardware readiness and familiarity with the technology, preventing technical disadvantages.

High-quality audio-video, clear visibility of witnesses, and reliable use of breakout rooms or chat features are vital. *Secure, efficient access to electronic documents and the proper presentation of evidence* must be ensured. A backup plan, such as switching to teleconferencing, should be prepared. Finally, participants must join from a quiet, well-lit location with stable connectivity.

THE PROCESS FOR ODR

According to the International and Domestic Arbitration Centre (IDAC) of India, the completion of arbitration proceedings entails *four basic steps*, namely:

- The disputed parties are served with a notice.
- To carry out the proceedings, arbitrators are appointed.
- Proceedings and hearings are carried out.
- Execution of the award.

The ODR process begins with filing e-documents, often secured through encryption or electronic signatures. Parties typically request the appointment of a neutral panel by an ODR service provider for structured dispute resolution. Institutions like WIPO, SIAC, and ICC are well-known for resolving online disputes through mediation and other ADR methods. Initially, negotiation occurs, followed by formal proceedings. ODR acts as both administrator and infrastructure provider. Complainants file claims for remedies, while respondents submit detailed replies upon agreeing to participate. Depending on the case, video conferencing may or may not be used. Some disputes are resolved

through Algorithmic Dispute Resolution, requiring no third party. If a party is dissatisfied with the outcome, the case can be reopened, triggering arbitration.

Role of ODR Neutral: The neutral helps parties present their cases, find common ground, evaluate strengths and weaknesses, and explore settlements.

Role of Counsel: Lawyers may participate in formal ODR with legal complexities, but are often unnecessary in informal, low-cost matters.

ADVANTAGES OF ODR

ODR has several advantages over traditional court

1. It leads to efficient time management by cancelling out the time required for travelling. It also substantially reduces costs as a result.
2. It ensures speedy access to justice
3. It has a more informal and casual set up.
4. It can be accessed from anywhere in the world without any geographical limitation acting as a barrier.
5. The asynchronous internet communications have advantage of being edited in contrast to impulsive.

Strength

1. **Chance of settlement:** As the online trader is informed about the complaint early on, he has a chance to solve the issue with the consumer directly if it has already not done so.
2. **Low cost:** If the parties do go ahead with the process, the dispute resolution body deals with the consumer complaint at moderate cost or no cost at all.

3. **Two-way process:** The traders are also allowed to file a complaint against the consumers. This largely depends on the jurisdiction of the dispute resolution body the parties chosen.
4. **Expertise, independence and impartiality:** The dispute resolution body dealing with the complaint has technical expertise on various forms of ADR and can only deal with the complaint if it does not have any conflict of interest.
5. **Transparency:** The dispute resolution body has to display all the relevant information on its website and on this basis the parties can agree to participate in the process.
6. **Efficiency:** The regulation provides for resolution of the dispute within 120 days of the filing of the complaint.

ODR has the potential to help bridge the gap in access to justice for litigants, but it can also entrench existing divisions between certain groups. Here are the non-exhaustive list to think about the following issues:

- While many of us take internet access for granted, for many particularly those who already face issues in accessing our justice system there are significant obstacles to getting online, such as the high cost of service or a person's geography.
- Many individuals primarily access the internet through their smartphones using limited data plans. Consider whether the applications you want to use are mobile-friendly from the perspective of both their design and data usage.
- Still others will need to utilize a computer at a public institution like a library. If one can offer computer terminals for people to access the ODR platform, that could prove to be a huge boon. One should also consider certain design features to accommodate disputants who will be potentially submitting sensitive information in a public space, such as an automatic log off feature.

- Access to Justice advocates recommend that language be written at a 4th-grade reading level.
- Will there be support for non-English speakers?
- ODR naturally appeals to individuals who rely on hourly wages or caregivers, among others, for whom taking a day off to go to court is overly burdensome. Are there steps of the process that will require them to follow up during regular business hours, and is there a way to accommodate those users?
- Have to consider the needs of individuals with disabilities, and have them be part of the design and testing process.
- Integrate resources such as guides and links to legal aid within the ODR.
- Some users will just not be able to navigate the technology without assistance. It is a good idea to create some redundant/backup systems for these individual.

CHALLENGES TO ODR

The Online Dispute Resolution is in an initial phase and has not taken a concrete shape. This phase is related to its evolutionary process and in this evolutionary process there are many barriers and hindrances to a successful online dispute resolution.

These challenges are as follows:

Cultural Challenges- These are the challenges that are predominantly found in the developing nations of the continents of Asia, Africa and Latin America. The people have lack of confidence over the online activities and hence their contribution to this field remains less. Their ideas transmit culturally and flow in an unregulated manner. There is the need of the government to understand and implement proper schemes to solve this challenge.

ICT Infrastructure Challenge- One of the major problem in the ODR is the fact that many of the nations including India do not have robust internet infrastructure which is the first and foremost requirement of the ODR. Though, it has been the policy to focus on the internet facilities and it has been discussed continuously about considering the internet as the ' basic right' yet for the ODR procedure to take place there should be a well- developed ODR platform, legal professionals along with software to have a perfect online dispute resolution mechanism.

Regulatory Challenges- There has been attempts to create a uniform regional legal framework for the consumer protection including the e-consumers.

Business Models- The main challenges that are faced under this heading are the business models and the business processes. Mainly the performance and the scalability of the ODR should to be measured.

Adaptability to the present Context- The adaptability is a type of challenge which incorporates poor infrastructure, Low personal computer penetration. The Internet and the Broadband connections are expensive and unaffordable for the general masses which can be a major barrier. Moreover there has been 'low bancarization' people using basic banking services and the presence of low usage of online banking services

Efficiency- The Court system is complex, expensive and inaccessible. The efficient system needs to be there in order to establish the principles of ADR and ODR. For this there must be a platform and a software to make the system of dispute resolution effective and efficient.

Great Economic Divide between the Developing and the Developed Nations- Due to globalization, developing countries share the common characteristics of unequally distributed wealth the developed nations have a more potential for ODR than the developing and the underdeveloped states which causes a disparity to arise. A perfect

ODR system has become a science fiction fantasy for the developing and underdeveloped nations.

Scope of ODR in India

The use of Online Dispute Resolution in India is still in its early stages. However, the COVID-19 pandemic has significantly increased its relevance. A combined reading of the Indian Evidence Act, 1872, the Arbitration and Conciliation Act, 1996, and the Information Technology Act, 2000, confirms that Indian laws legally and technically support ODR mechanisms. Issues like jurisdiction and geographic limitations commonly found in traditional ADR are being eliminated through ODR, along with benefits such as automation of administrative tasks, eco-friendly processes, and enhanced productivity of legal professionals.

All three branches of government have taken steps to integrate technology into the legal system to ensure timely justice even during crises. The Supreme Court, in the *suo motu* writ petition *Expeditious trial of cases under Section 138 of the N.I. Act, 1881*, referred to *Meters and Instruments Pvt. Ltd. vs Kanchan Mehta*, emphasizing the importance of using technology for paperless and less crowded courts.

With "Digital India" reaching remote villages, technology can bridge the justice gap across geographical boundaries. Given the heavy workload— 1,350 cases per judge in India versus 388 in the U.S.— technology-driven resolution systems could ease the judiciary's burden and improve efficiency. Additionally, transitioning to digital platforms could reduce the environmental toll caused by the excessive use of paper in courts.